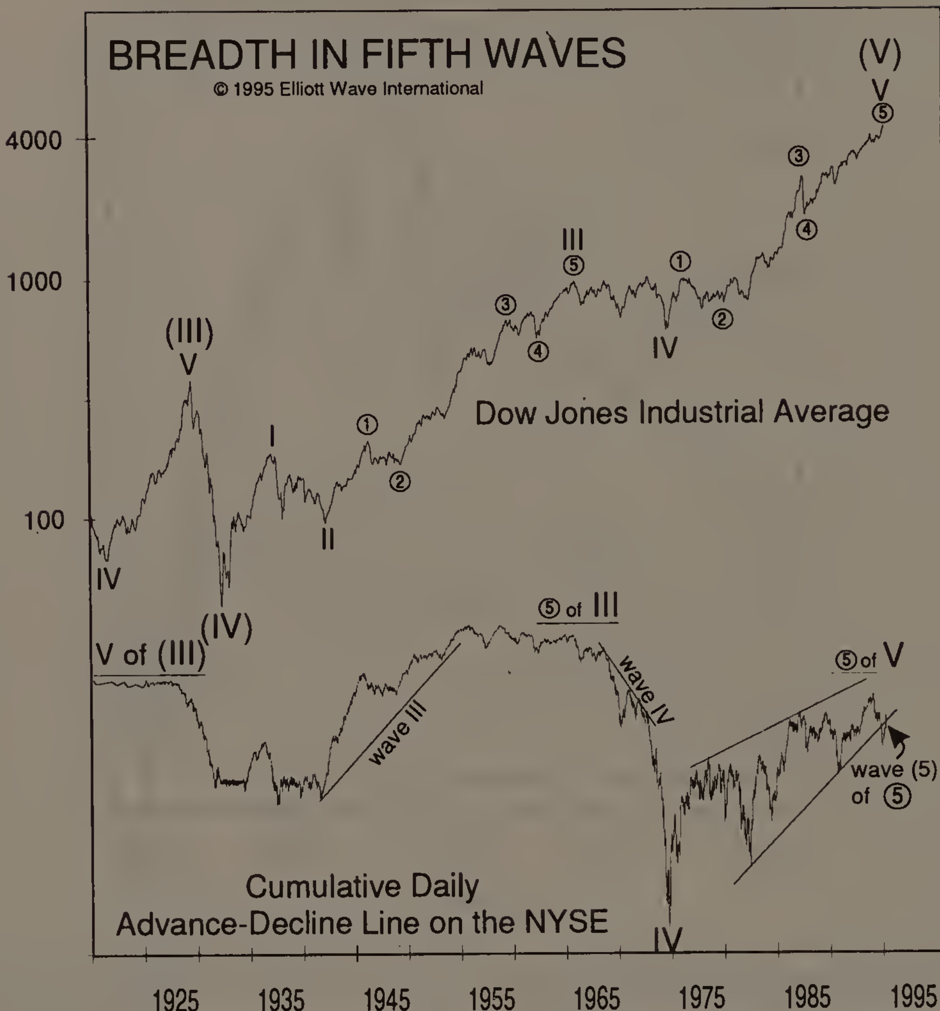


*Figure 9-8*

Had the advance from 1974 produced a relative *expansion* in the number of stocks advancing vs. declining, the entire analysis that the bull market was a fifth wave would have been negated. However, as you can see by Figure 9-8, wave V performed in the required lackluster way compared to wave III. During wave III, the number of stocks advancing so outstripped the number declining that the advance-decline line soared. During wave V, selectivity has been such that in 21 long years, the a-d line has retraced only half of the losses it incurred during the 8-year sideways correction of wave IV from 1966 to 1974, which in price terms was a mild correction. The anemic retracement by wave V is even worse than the chart makes it appear; over the years, more stocks are traded, so the daily net differences should normally be expanding over time to